

BEFORE THE FEDERAL MARITIME COMMISSION
Administrative Law Judge

Docket No. 24-06

Impact Products, LLC and Safety Zone, LLC, Complainants

v.

Lihua Logistics Company Limited, Respondent

**Respondent's Reply to Complainants' Response to Respondent's Motion
to Dismiss the Complaint**

On April 4, 2024, Complainants filed their Response to Respondent's Motion to Dismiss the Complaint. The Respondent respectfully replies to that Response pursuant to 46 C.F.R. 502.69(g) and 46 C.F.R. 502.70(c).

The Motion to Dismiss was based on the long-standing rule that Complainants failed to state a claim for reparations upon which relief could be granted because they were not "direct purchasers," and they did not plead that that they had any relationship directly with Respondent.

In fact, the Complaint specifically said that Complainants used their freight forwarder Laufer Group International, Inc. ("Laufer") as their "conduit" for payment of the monies for which they now seek reparations. In the Response, Complainants state:

“The Charges were first issued by Lihua to Laufer Group International (“Laufer”), who is a non-vessel operating common carrier (NVOCC) that Complainants used to assist in facilitating the retrieval of the relevant containers.(Id. ¶ 13.)” Response, p.2. (Emphasis added.)

Paragraph 13 of the Complaint served on Lihua, states the following:

Throughout the relevant period, Supply Source used a freight forwarder Laufer Group International (“Laufer”) *to assist in the facilitation of the relevant containers*. While Laufer invoiced Supply Source for the Charges, it was simply acting as a conduit for the Charges that were sent by Lihua. (Emphasis added.)

Anyone reading these two paragraphs would readily see that there are significant changes in the Response with respect to the description of Laufer in Paragraph 13 of the Complaint, from a “freight forwarder” to a “NVOCC” and a change of Laufer’s status “to assist in the facilitation of the relevant containers” to “used to *assist in facilitating the retrieval of the relevant containers.*”

The Complainants have not pleaded facts in the Complaint that are sufficient to overcome the Motion to Dismiss. As discussed herein, Complainants asserted twice in the Complaint that there was a “service contract” between Complainants and Lihua, and now claim that the “service contract” is irrelevant. In the absence of a service contract, what Complainants have not pleaded in the Complaint are facts necessary to show a direct relationship in the Complaint between Complainants and Respondent,

Lihua that would support a claim of a “direct purchaser.” The Complaint does not allege or discuss bills of lading issued by Lihua to carry cargo for Complainants as a shipper. Respondent knows of no facts alleged in the Complaint suggesting that Lihua was an ocean common carrier in relation to the Complainants.

The Response is remarkable for Complainant’s efforts to interpret or amend its own Complaint, by redefining or recasting what the Complaint states, interpreting the Complaint contrary to its plain language, and in effect, attempting under the guise of argument to amend its Complaint.

As a result, (a) Complainants now allege in the Response that freight forwarder, Laufer, pleaded in the Verified Complaint to be a Freight Forwarder, is now an NVOCC; (b) Complainants’ two distinct allegations in the Complaint (Complaint Para. 9 and Complaint Para. 31) that referenced “service contracts” with Respondent (about which Respondent asked the Presiding Administrative Law Judge to take official notice of FMC service contract records that show that no such service contracts exist) are now argued to be “*irrelevant.*”; See Response, at p.2, n.2 in which Complainants’ assert

“Complainants believe the existence of a service contract between Complainants and Lihua is irrelevant to determine whether Lihua violated the Shipping Act, and whether Complainants are entitled to reparations under 46 U.S.C. § 41305.”

This is a remarkable position for Complainants to take about the allegations in their own Complaint. Respondent contended in its Motion to

Dismiss that there were no service contracts between Respondent and Complainants, and Complainant's response is that whether or not such service contracts exist is "irrelevant," it begs the question as to what contractual basis existed, if any, between Complainants and Respondent.

Complainants don't seem to know who they are or what the legal underpinnings are for their Complaint. This is actually made clear in the first paragraph of the Complaint, that begins with the two named Complainants being called, collectively, "Supply Source". This is not just a shorthand designation of Complainants. The Complaint is verified by an alleged officer of a distinct parent corporation called Supply Source, that alleges that "Complainant Supply Source" is the parent corporation of the Complainants, when Supply Source is not a Complainant.

The first paragraph of the Complaint goes on to say that the Complainants "seek reparations for injuries to Supply Source." (Emphasis added.) Does this allegation refer to the parent company or does it mean the two Complainants?

If the existence of a service contract with Lihua is irrelevant, (and Respondent is unaware of any contract with Complainants, or for that matter Supply Source or their NVOCC, Laufer) then the Complaint does not plead any direct relationship of Complainants to Respondent and to the reparations being sought.

At this stage, it appears that Complainants are not direct purchasers and

that their standing to claim reparations is now argued to be based on an assignment of claim (which has not been seen) from their Freight Forwarder/NVOCC, Laufer. Respondent is unaware of any service contracts (irrelevant or not) that it had with Laufer.

From general knowledge of the business of providing ocean transportation services, in the absence of relevant service contracts, one would expect the Complainants to plead and establish a shipper/ocean common carrier relationship through tariff rates or NVOCC Service Arrangements or Negotiated Rate Agreements for which bills of lading would have been issued with respect to each shipment by the Complainants.

After twice alleging that Complainants had a service contract with Respondent, and now asserting that such allegations are irrelevant, the Complainants are left without a scintilla of an alleged contractual basis that would constitute a shipper/carrier relationship under the Shipping Act to support Complainants' standing to claim reparations as a "direct purchaser" from a common carrier for alleged injuries caused by a violation of the Shipping Act.

Absent shipping documents, Complainants want to leverage their claim by saying they have an assignment of claim from Laufer, for which they provide no details. This is another example that Complainants are using their response to suggest facts that are different than the Complaint, effectively amending their Complaint, and without following 46 CFR §502.66 of

the FMC's Rules of Practice and Procedure which deals with amendments.

Based on the Response of Complainants, it remains clear that Complainant have not alleged a claim for which they have standing to claim reparations because, as they have pleaded (Complaint, paragraph 13), they used an intermediary, Laufer, whose status legally, according to the FMC's website, is both a licensed freight forwarder and a licensed NVOCC. The Complainants make no allegations that Laufer issued house bills of lading as a NVOCC, or that there are any bills of lading issued by Respondent that show Laufer as the shipper of Complainant's goods as a NVOCC. The Complainants have not pleaded any facts that show they have any basis to claim standing to seek reparations for alleged violations of the Shipping Act of 1984, as amended.

Complainants argue that their Complaint is sufficient to to avoid a finding that it failed to state a claim upon which relief can be granted. But they do not state a claim "that is plausible on its face" as required by Bell Atlantic Corp. v. Twombly, 550 U.S. 544, 570 (2007). The Complaint does not have facial plausibility [when it does not have] factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged." Ashcroft v. Iqbal, 556 U.S. 662, 663 (2009). (Emphasis added.)

The Complaint is internally contradictory, factually and legally, and, most significantly for this Reply, it seeks reparations based on charges that

Complainants admit in Paragraph 13 of the Complaint were allegedly “invoiced” to Complainants by its “forwarder, Laufer Group International.” There are no ocean transportation documents alleged between Complainants and Respondent. The Complaint, alone or as “amended” by the Complainant’s Response, doesn’t come close to meeting the standards to overcome Respondent’s Motion to Dismiss.

Under the Commission’s long-standing decisions, the Complaint and Complainant’s Response, show that the Complainants were not “direct purchasers” of services from Respondent, have no privity of contract and have no standing to collect reparations under the Shipping Act of 1984, as amended.

It is clear that the Complainants admitted in Paragraph 13 of the Complaint, that all expenses for which Complainants demand reparations were not based on “Charges sent by Lihua [to the Complainants].” This verified representation can only mean Complainants have no standing to seek reparations because they are not “direct purchasers.”

In sum, the Complainants were not parties to any service contracts with Respondent, nor are they parties on Respondent’s bills of lading. Based on the language of the Complaint, the Complainants are not, factually, direct purchasers and have not made a plausible claim.

As the Commission explained, most recently, in *OCEMA*:

“For the past 90 years, the Commission and its predecessor agencies have followed Supreme Court precedent in applying what has become known as the ‘direct purchaser rule.’ . . . [T]he direct purchaser rule

deems the person that paid illegal overcharges (or directly sustained them) as *the only person* 'directly damaged,' regardless of what may have occurred later." 2024 WL 641501, at *44. (Emphasis added.)

For the reasons set forth herein, Respondent, Lihua Logistics Company Limited, respectfully requests that the Complaint in this proceeding be dismissed.

Respectfully submitted,



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CERTIFICATE OF SERVICE

I certify that on the 9th day of April, 2024, a true and correct copy of the foregoing Reply to Response was served by email on the Secretary of the Federal Maritime Commission, the presiding Administrative Law Judge and counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020

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